



“The key benefit of the ‘Save Now, Buy Later’ model is that there are no entry barriers—any customer can use it unlike credit products, which require a credit score or involve an approval process”

VARDHAN KOSHAL
CO-FOUNDER, TORTOISE



“When people save up for a future spend through Multipl, they get market returns (8-10 per cent annualised) and brand benefits (5-10 per cent). So, effectively, people can end up paying almost 20 per cent less”

PADDY RAGHAVAN
CEO & CO-FOUNDER,
MULTIPL



downloads and says its revenue has been growing by 50 per cent every month.

IS IT BETTER THAN BORROWING?

Comparing the SNBL and BNPL models, Multipl’s Raghavan says, “The emphasis in BNPL is on obtaining credit and receiving satisfaction right away. Credit lines are offered for instant purchases. In the absence of a savings plan, this could result in people falling into a debt trap, hurt credit scores and lower savings, which does not leave much for emergencies.”

Indeed, the BNPL model’s rigidity in terms of repayment schedule, interest cost and processing fee makes it an expensive approach at times. Sometimes, the interest cost can be as high as 15-20 per cent if the repayment schedule is disturbed. Not to forget that there are no real incentives in the form of cashbacks or savings and the model can lead one to overspend as lenders are

more than happy to dole out loans for discretionary spending by consumers.

Koshal of Tortoise believes that SNBL scores over BNPL in terms of accessibility as well, since anyone and everyone can use this route—even those without a credit score or low score—and there is no prior approval process. “Additionally, SNBL or ‘save to buy’ offers a debt-free alternative to make high-value purchases. This does not require or impact the customer’s credit score and liabilities. Plus, SNBL

provides rewards over and above the direct purchasing price or even zero per cent EMIs offered in the BNPL model,” he says.

But, BNPL has its share of advantages, especially for those who need to make an immediate purchase but are running low on cash. Under BNPL, the borrower gets the option of an instant, short-term loan with a deferred repayment tenure, including the option of equated monthly instalments (EMIs) after the end of an interest-free period. “SNBL can be looked upon as the Yin to the Yang of BNPL,” says Abhishek Mody, a veteran of the fintech and payments space.

Interestingly, Mody believes that SNBL platforms could also look at offering incentives for purchasing essentials apart from the current bouquet of aspirational goods and services. “Currently it is offered in aspirational segments like travel, electronics or gold. However, start-ups may think about introducing SNBL in

15-20

PER CENT

**LIKELY INTEREST RATE
UNDER BNPL MODEL IF
REPAYMENT SCHEDULE
IS DISTURBED**